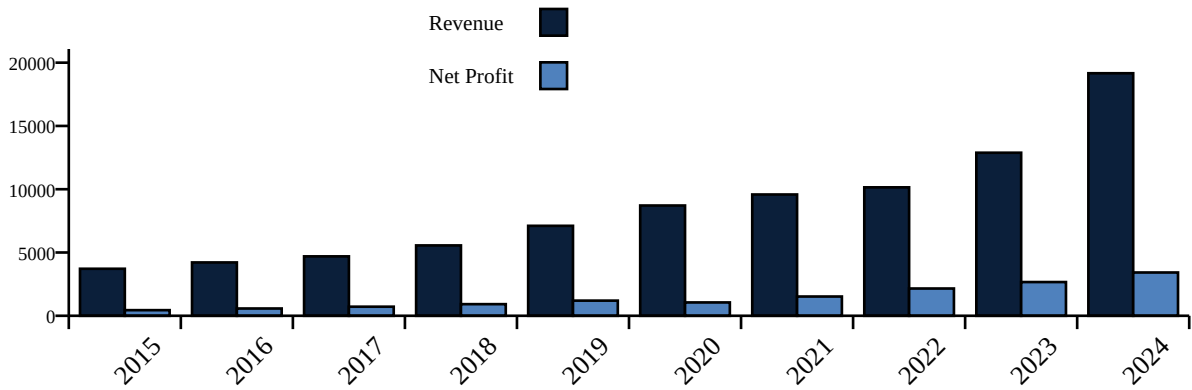


Cholamandalam Investment & Finance Company Ltd

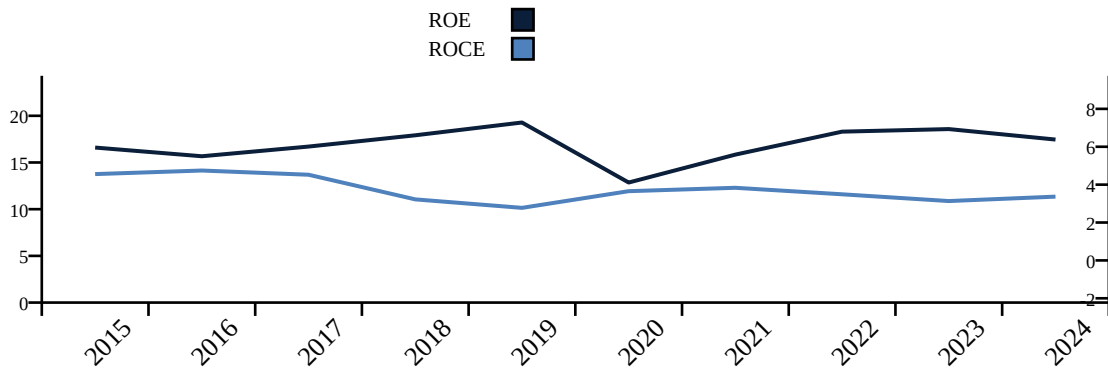
CHOLAFIN

ROE 17.5%	ROCE 3.4%	Net Margin 17.8%
Debt / Equity 6.9	Revenue CAGR 5Y 21.9%	Quality Score 43.1

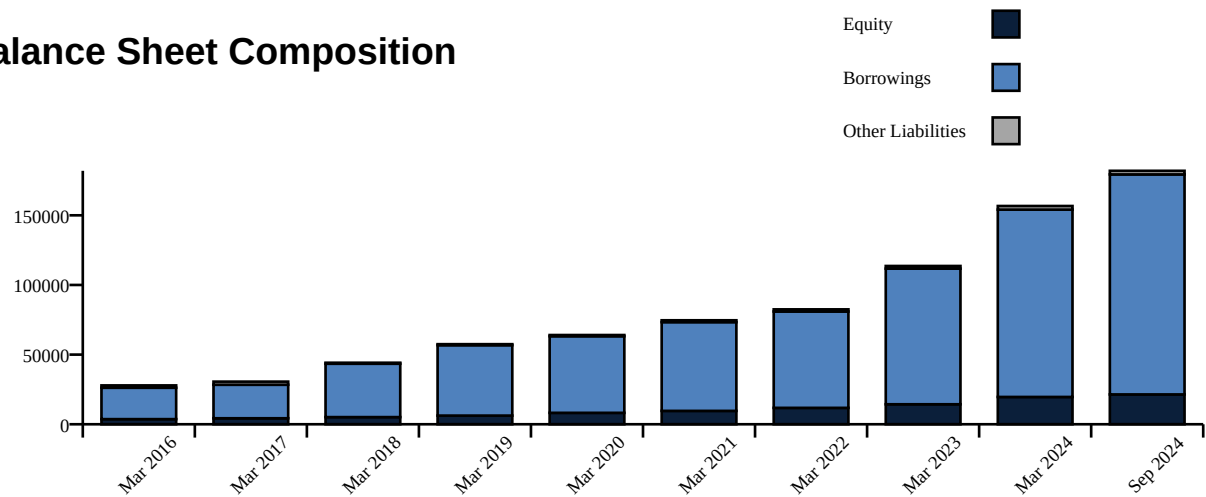
10-Year Revenue & Net Profit



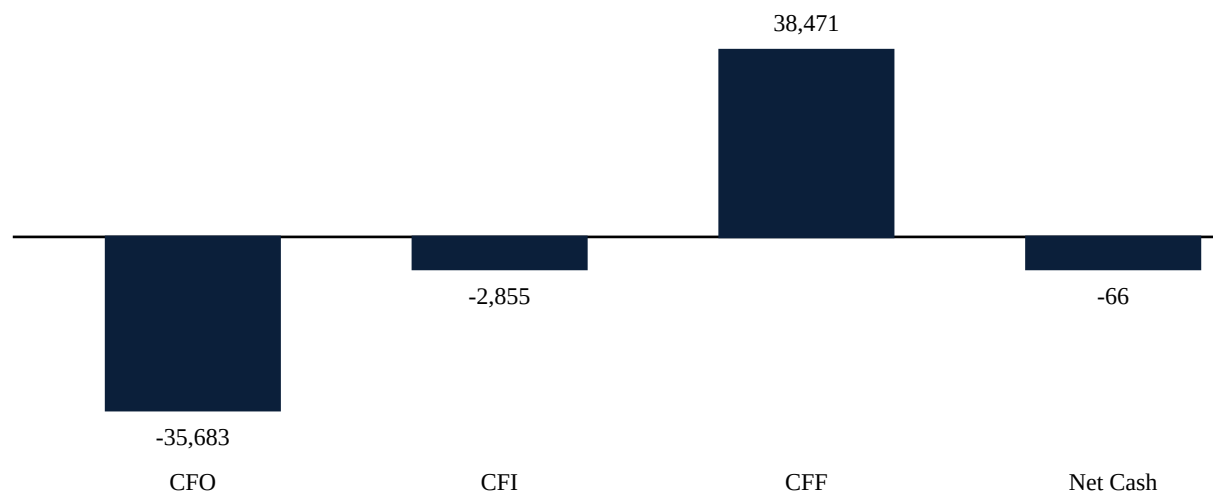
ROE & ROCE Trend



Balance Sheet Composition



Cash Flow Waterfall — Latest Year



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt